## APPOINTMENT OF THE GOVERNOR AND DEPUTY GOVERNOR

Having established the RBI the government now had to find a suitable Governor and Deputy Governor. The framers of the RBI legislation had given much thought to these two offices and there had been much debate and deliberation on the subject. A Departmental Committee of the India Office (the Mant Committee), the London Committee, the Joint Select Committee on the RBI Bill, and the Legislative Assembly had all given the matter much thought. The majority view of the London Committee was that the Governor and Deputy Governor should be appointed by the Governor General in his discretion (i.e. free from the constitutional obligation to be guided by ministerial advice) though in making appointments he was to consider the views of the Central Board of the bank. The minority view was that the Board of Directors should make the appointments subject to the approval of the Governor General.

The final recommendation of the London Committee was that the Governor General would make the appointments after considering the recommendations of the Central Board. This was the procedure for selecting the Managing Governors of the Imperial Bank of India. However, on Purshotamdas's insistence, the Joint Select Committee on the RBI Bill recommended that the appointments be made by the Governor General in Council (i.e. the Governor General acting on the advice of his ministers). The understanding was that there was to be prior consultation between the Governor General in Council and the Directors of the Central Board before a recommendation was made. A provision had been made for the appointment of two Deputy Governors, the idea being that this would ensure that at least one of them was an Indian. Though this was not written into the Statute-book, the Finance Member, Sir George Schuster, had given an assurance to this effect in the Assembly.

An aspect which received much attention was the qualifications of the Governor and the extent to which statutory provision was to be made for this. While the London Committee had merely said that 'this officer should command general confidence, both in India and abroad', the Joint Select Committee went into some detail on this issue. The Committee wanted the Governor to be a man 'of tested banking experience covering a period of at least five years.' The Committee was aware that this recommendation could